ORACLE NetSuite

How to Select the Right ERP for Your Manufacturing Business

ERP software plays a pivotal role in helping manufacturers consolidate and analyze their core financial, operational, supplier, and customer data to drive better decision-making. Discover what to consider when choosing an ERP system for your manufacturing organization.

12 Questions to Ask ERP Vendors

Each manufacturer has unique needs, but here are some universal considerations and questions you might want to ask an enterprise resource planning (ERP) vendor during the selection process:

System costs: How does the vendor charge for the ERP system we want now and for the capabilities we'll require in the future? How are upgrades, new releases, and bug fixes handled?

Implementation: What's the expected cost for implementation? How could that cost increase once the project is underway? How can we prevent scope creep?

Manufacturing expertise: Does the vendor offer functionality designed to meet our specific manufacturing needs, such as production planning, inventory and supply chain management, demand and order management, and mobile shop floor control?

Configurability: Does the vendor understand our specific needs and processes, and is the system flexible enough to support them without writing a bunch of custom code? How are configurations handled by the vendor's implementation team?

Integration: Does the ERP system integrate well with other core manufacturing systems to streamline data entry, improve accuracy, and increase transparency? For example, can it integrate with computer-aided design (CAD) applications to simplify costing or connect easily with logistics providers for better order management?

User-friendliness: Is the system easy to learn and use? Does it have an intuitive user interface (UI) that will encourage wide adoption across our company?

Global capabilities: Does the system offer multilanguage and multicurrency capabilities to support our global supply chain, processes, and cross-border transactions?

Timeline: How long will the implementation take? Will it disrupt our operations? How has implementation gone for other manufacturing customers? What resources will our company be expected to provide?

Project management: Will the vendor help create milestones for success relevant to our business, such as improved cycle time, throughput, inventory turns, or costs per unit, so that everyone sees progress?

Updates: How and how often does the vendor deliver software updates? Do new features cost extra? Do updates require expert assistance to install?

Data migration: How will the vendor help move data from old manufacturing systems to the new ERP? Does the provider have experience with our existing systems?

Add-ons: Does the vendor offer a variety of modules we can add as we need them? Does it have an extensive network of partners offering prebuilt integrations and manufacturing functionality? How simple is it to add users or new functionality?

Key ERP Capabilities

What functionality do you need? Consider these popular options.

Accounting: Automate accounts payable and receivable (AP/AR); automatically update the general ledger and subledgers with transactions as they happen; improve intercompany accounting and costing; streamline the financial close with automated allocations, currency management tools, and period locking.

Financial planning and analysis: Forecast future sales, expenses, and headcount needs; create product budgets; project base, best- and worst-case outcomes; model what-if scenarios; fully integrate financial statements.

Inventory management: Track the movement of products across the supply chain; monitor current inventory levels and automatically generate restocking alerts and reorder forms; integrate demand planning forecasts to predict required inventory levels based on historical data, sales forecasts, open opportunities, and seasonality.

Supply chain management: Monitor supplier performance and outsourced manufacturing processes; support data sharing with trade partners throughout the network; implement distribution requirement planning (DRP) capabilities for multilocation planning and automated generation of purchase orders, work orders, and transfer orders; provide real-time visibility into supply chain management and spending metrics.

Production planning and scheduling: Automatically balance supply to meet demand forecasts and actuals; create and visualize production schedules; monitor production in real time; identify and address potential scheduling issues.

Mobile shop floor control: Manage work queues on the shop floor with ruggedized devices; accurately record activity at each stage of the manufacturing process.

Engineering and quality management: Improve product design and quality; define and maintain inspection plans and pass/fail criteria; collect and report on results; improve bill-of-materials management.

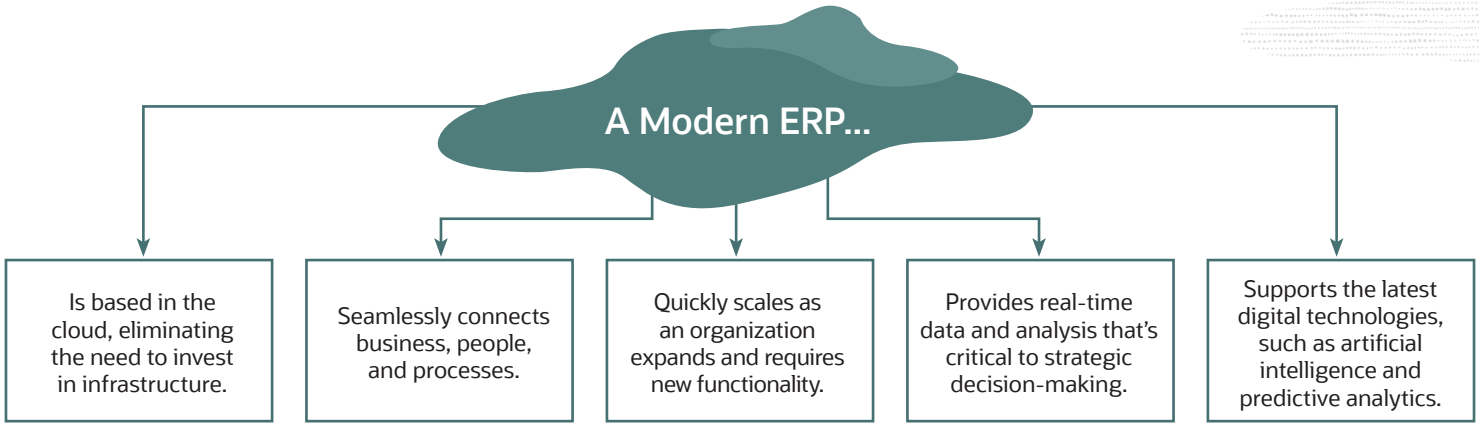
Order management: Manage all orders in a single system; integrate order-to-cash processes; fulfill orders based on inventory availability and business rules; route orders to the best fulfillment location; track orders from receipt through delivery.

Fixed assets management: Monitor complete manufacturing asset life cycle; calculate and report on depreciating and nondepreciating assets; track equipment warranties; set up maintenance schedules.

Customer relationship management (CRM): Record all communication with customers, prospects, and partners; manage sales leads; implement marketing campaigns; improve customer service and support case management; manage warranty returns and repairs; enable customer self-service.

Environmental, sustainability, and governance (ESG) reporting: Measure, report, and reduce your company's carbon footprint by tracking Scope 1, 2, and 3 emissions, carbon credits and offsets, and other ESG data; ingest and integrate ESG data from suppliers; produce regular ESG reports.

ERP systems are modular, so you can start with core finance functionality and add modules for other aspects of the business as you need them.



Main characteristics of a modern ERP.

3 Keys to Convincing Internal Skeptics

When it comes time to win over key stakeholders, take these steps to get buy-in for the ERP system investment.

Identify the why

Highlight specific pain points and how an ERP system resolves them. Supply chain disruptions, such as shipping delays, materials shortages, rising costs, and changing customer demand are industry realities. Fragmented data, disjointed digital tools, and manual processes limit the visibility and agility manufacturers need to successfully navigate a dynamic business environment. A comprehensive ERP system empowers manufacturers to respond to shifts in supply and demand, anticipate business opportunities and challenges, manage day-to-day transactions and operations, and build a unified strategy for long-term success. An ERP system with manufacturing-specific modules offers tools and best practices to increase transparency throughout the supply chain, control costs, boost efficiency and remain competitive.

Make the case for your ERP selection

Look for a solution that offers the types of modules and capabilities needed now and a few years out. For new implementations, a cloud-based ERP system is the natural choice, given its security, scalability, and cost-effectiveness. Be sure to lay out the full costs, including implementation and training. Lean on vendor references from existing customers in the manufacturing industry to ease concerns and drive home the value.

Lay out your implementation strategy

Rolling out an ERP in stages is less risky than a "big bang," all-at-once deployment, but it may result in a slower payback. Running legacy systems in parallel for a length of time may be worthwhile, particularly in an always-on manufacturing environment. Draft an implementation schedule that takes into consideration resource availability and uptime requirements.

Click here to learn even more about ERP.

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